NC Bank Branches and Employer Startups

NC county-panel study, 2014-2023 | Provisional policy brief | Revised October 4, 2026

Branch contraction is clear; the county-level startup association is not.

-21.8%
full-service branches, 2013–22

995
primary county-year observations

-1.823
headline slope; CI includes zero

QUESTION

How is full-service branch density associated with employer-startup activity after county and year fixed effects?

DATA AND METHOD

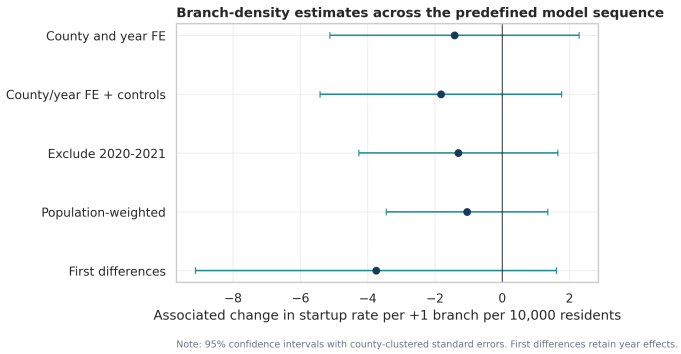
The panel links FDIC Summary of Deposits to Census Business Dynamics Statistics, BEA, BLS, and USDA data for all 100 NC counties. The primary outcome is firm-age-zero establishments per 1,000 lagged active establishments. Five disclosure-suppressed cells leave 995 observations. Models include county/year fixed effects, unemployment, log population, log PCPI, and county-clustered uncertainty.

MAIN FINDING

One additional branch per 10,000 residents is associated with -1.823 startup establishments per 1,000 lagged establishments (95% CI -5.412 to 1.767). The estimate is negative, imprecise, and does not support the predicted positive association. It also does not prove a negative effect or no effect.

TIMING AND ROBUSTNESS

The frozen June snapshot falls inside the March-to-March BDS interval. A4 moves exposure and controls before it and drops the first outcome year: +2.028 (95% CI -1.383 to 5.439; N = 895). This changes both timing and sample. Both intervals include zero; the negative Poisson result remains secondary.



INTERPRET CAUTIOUSLY

Branch density is a count divided by population, not a measure of distance, travel time, service quality, or credit supply. The frozen exposure overlaps the outcome interval, BDS excludes nonemployers, and banks may close where managers expect weaker demand. Neither timing model is causal.

RESTRAINED POLICY IMPLICATION

Monitor exact locations and practical access: road-network travel time, cross-county alternatives, credit unions, broadband, transportation, and small-business lending options. The study supports better local measurement; it does not justify a claim that adding a branch will raise startups.

BEST NEXT RESEARCH STEP

Link geocoded closure events to sub-county business outcomes and plausibly exogenous merger-related consolidation. That design would address geography and endogenous closure placement more credibly.

Sources: FDIC SOD; Census BDS; BEA CAINC1; BLS LAUS; USDA RUCC. Working paper estimates; not causal.

Aadi Joshi | provisional working paper